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Secure Distribution Venture Pvt. Ltd.

What is Rental Deposit Funding ?

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Chapter 1: Product Overview & Core Philosophy of Rental Deposit Funding

Rental Deposit Funding (RDF)—also known across Indian commercial banking as Lease Security Deposit Financing (LSDF) or Security Deposit Monetization—is a specialized structured debt product engineered to unlock capital trapped in Interest-Free Refundable Security Deposits (IFRSD) required for commercial, retail, IT/ITeS, and industrial real estate leases.

In the Indian commercial real estate ecosystem, property owners and developers mandatorily demand that corporate tenants deposit between 3 and 12 months of gross monthly rent as an upfront, interest-free cash security deposit prior to handing over physical possession. For rapidly expanding enterprises—such as retail chains, quick-service restaurants (QSRs), co-working operators, technology centers, and logistics providers—locking up Crores of Rupees in static, non-earning security deposits creates severe liquidity friction, constraining core business expansion and reducing Return on Capital Employed (ROCE).

Rental Deposit Funding solves this working capital bottleneck by advancing 70% to 85% of the total security deposit amount as a structured term loan or monetization line. The loan is disbursed directly to the landlord or reimbursed to the tenant, secured primarily by an exclusive charge and assignment over the tenant's legal right to receive the refundable security deposit upon lease expiry or determination under the Transfer of Property Act, 1882.

The Dual Structural Perspectives: Tenant-Side vs. Landlord-Side Monetization

Rental Deposit Funding operates across two distinct corporate perspectives within the wholesale banking ecosystem:

- **Tenant-Side Rental Deposit Funding (Primary Focus):** Designed for expanding corporate lessees seeking to fund upfront security deposit obligations without depleting liquid cash equity. The bank advances debt to cover the landlord's deposit requirement, allowing the tenant to service the loan through manageable monthly Equated Monthly Installments (EMIs) while reinvesting preserved equity into core business operations @ 18%–25% Return on Invested Capital (ROIC).
- **Landlord-Side Deposit Monetization:** Designed for commercial real estate developers and landlords holding large accumulated pools of refundable tenant security deposits. Landlords discount these future deposit refund liabilities or pledge deposit pools to raise low-cost institutional debt for property maintenance, asset enhancement, or debt refinancing.

> **STRATEGIC VALUE PROPOSITION:** *By converting a lump-sum cash outlay into a structured, tax-deductible monthly debt service obligation, Rental Deposit Funding transforms trapped*

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> *real estate equity into active working capital, enabling 3x to 5x faster network expansion for corporate tenants.*

Comparative Structural Taxonomy Matrix

To understand where Rental Deposit Funding fits within the wholesale credit spectrum, the following matrix compares RDF against Lease Rental Discounting (LRD), Equipment Leasing, Working Capital Term Loans, and Unsecured Business Loans.

Parameter	Rental Deposit Funding	Lease Rental Discounting	Equipment Leasing	Working Capital Loan	Unsecured Business Loan
Primary Borrower	Corporate Tenant / Lessee	Property Owner / Lessor	Equipment User / Lessee	Operating Corporate	SME / Corporate
Underlying Collateral	Assignment of Security Deposit	Hypothecation of Rent Rents	First Charge on Machinery	Stock & Receivables	Nil (Unsecured)
Borrowing LTV / Quantum	70% - 85% of Deposit NPV	60% - 75% of Rent NPV	75% - 90% Asset Value	25% - 40% Margin	1.0x - 2.0x Monthly Sales
Indicative Tenure	3 to 7 Years (Lock-in)	5 to 15 Years	3 to 7 Years	12 Months (Renewable)	12 to 36 Months
Interest Spread	8.50% - 11.50% p.a.	8.25% - 10.50% p.a.	9.00% - 12.00% p.a.	9.50% - 13.00% p.a.	14.00% - 18.00% p.a.
Repayment Mechanism	Monthly EMI + Deposit Sweep	Escrow Rent Sweep	Monthly Lease Rental	Cash Credit Overdraft	Monthly Bank Auto-Debit

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Chapter 2: How Product Structure Works: Tripartite Architecture & Escrow Cash Waterfall

The operational mechanics of Rental Deposit Funding rely on a legally ring-fenced, tripartite structure connecting the Tenant (Borrower), the Landlord (Obligee), and the Institutional Financier (Lender).

Step-by-Step Operational Lifecycle Workflow

A standard Rental Deposit Funding transaction executes across six distinct lifecycle stages:

- **Stage 1 - Registered Lease Execution:** The corporate tenant and landlord negotiate and execute a long-term Registered Commercial Lease Deed defining lease tenure, rent escalation clauses, lock-in duration (minimum 3 to 5 years), and the exact Refundable Security Deposit quantum.
- **Stage 2 - Credit Underwriting & LTV Sanction:** The institutional lender evaluates the tenant's corporate balance sheet, credit rating, and cash flow debt service coverage (DSCR >= 1.35x), alongside the landlord's title, property encumbrance, and deposit refund solvency.
- **Stage 3 - Tripartite Assignment Agreement:** A legally binding Tripartite Assignment Agreement is executed between Tenant, Landlord, and Lender. The landlord formally acknowledges the assignment of the deposit refund rights to the lender and irrevocably undertakes to remit the deposit refund directly into the lender's designated Escrow Account upon lease expiration.
- **Stage 4 - Direct Facility Disbursement:** The lender disburses 70% to 85% of the security deposit directly to the landlord's bank account on behalf of the tenant (or reimburses the tenant if the deposit was pre-paid).
- **Stage 5 - Monthly Debt Servicing (EMI):** The tenant services the RDF loan through structured monthly EMIs (interest + principal amortization) over the agreed loan tenure co-terminus with the lease lock-in period.
- **Stage 6 - Terminal Deposit Refund Sweep & Discharge:** Upon lease expiry or determination, the landlord remits the full refundable security deposit directly into the Escrow Account. The lender sweeps the balance principal outstanding (if any), charges, and releases the net surplus cash directly to the tenant, fully discharging the facility.

Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

To guarantee bankruptcy-remote payment execution, all rental payments and security deposit refunds are routed through an Escrow Trust & Retention Account (TRA) governed by strict priority waterfall rules.

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Waterfall Priority	Cash Flow Component	Escrow Account Allocation & Disbursement Mechanics
Priority 1	Gross Monthly Rent Collection	Tenant remits gross monthly rent + GST into the Nodal Escrow Collection Account on or before the 1st of each month.
Priority 2	Statutory Deductions (TDS & GST)	Automated deduction of 10% TDS u/s 194I and 18% GST (SAC 9972) remitted directly to statutory tax authorities.
Priority 3	Senior RDF Debt Service Sweep	Escrow Agent sweeps the monthly RDF Loan EMI (Principal + Interest) directly to the Senior Lender's Debt Service Account.
Priority 4	Net Rent Release to Landlord	Remaining net rental balance is swept directly into the Landlord's designated operational bank account.
Priority 5	Terminal Deposit Refund Recovery	Upon lease expiry, 100% deposit refund is remitted to Escrow to clear final loan balance, with net surplus released to Tenant.

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Chapter 3: Regulatory, Statutory, Tax & Accounting Framework in India

Rental Deposit Funding operates under a robust Indian statutory and regulatory matrix spanning civil property laws, banking regulations, corporate governance, direct/indirect taxation, and international accounting standards.

Statutory Civil & Banking Law Foundations

- **Transfer of Property Act, 1882 (Sections 105 & 108):** Section 105 defines a lease as a transfer of right to enjoy property. Section 108(g) establishes the lessee's statutory right to full refund of security deposits upon lease determination, creating an enforceable legal debt against the lessor.
- **Indian Contract Act, 1872 (Sections 126 & 145):** Section 126 governs suretyship and guarantee contracts. Section 145 creates an implied promise by the principal debtor to indemnify the surety for all sums rightfully paid under the guarantee structure.
- **RBI Credit Exposure & Prudential Norms:** Commercial Banks and Systemically Important NBFCs underwrite RDF lines under RBI credit exposure directions. RDF loans carry a 100% Credit Conversion Factor (CCF) and standard 90-day IRAC NPA provisioning rules.
- **Companies Act, 2013 (Section 77 & 180):** Section 77 mandates that every company creating a security charge on its receivables or book debts must register the charge with the Registrar of Companies (ROC Form CHG-1) within 30 days. Section 180(1)(c) requires special shareholder resolutions for borrowings exceeding paid-up capital and free reserves.

Taxation & Ind AS 116 Lease Accounting Standards

The taxation and accounting treatment of Rental Deposit Funding provides substantial corporate financial advantages:

- **Income Tax Act, 1961 (Section 36(1)(iii) & Section 37(1)):** Interest paid on RDF term loans is 100% tax-deductible as a business expense u/s 36(1)(iii). Monthly lease rentals are 100% deductible u/s 37(1), providing a ~25.17% corporate tax shield. Section 194I mandates 10% TDS withholding on commercial lease rentals.
- **Goods and Services Tax (GST SAC 9972):** Interest-free refundable security deposits are capital transactions exempt from GST. However, if the deposit is forfeited or adjusted against unpaid rent, 18% GST applies under SAC 9972 with 100% Input Tax Credit (ITC) eligibility u/s 16 CGST Act.
- **Ind AS 116 Lease Accounting Standard:** Under Ind AS 116, interest-free refundable security deposits are discounted to present value using the tenant's incremental borrowing rate. The difference between nominal deposit value and present value is capitalized as part of the Right-of-Use (ROU) Asset and amortized over the lease tenure.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Benchmarks

Institutional lenders evaluate Rental Deposit Funding proposals through a rigorous dual-track underwriting methodology assessing both the Corporate Tenant's financial strength and the Landlord's property solvency.

Underwriting Parameter	Institutional Target Benchmark	Underwriting Rationale & Risk Governance
Corporate Credit Rating	CRISIL / ICRA / CARE BBB- to AAA Rank	Ensures tenant financial stability and low corporate default probability.
Operating Track Record	Minimum 3 to 5+ Years Operational History	Verifies established business model, unit economics, and management stability.
Debt Service Coverage (DSCR)	Projected DSCR >= 1.35x to 1.60x	Ensures robust operating cash flows to service RDF loan EMI and lease rent.
Fixed Charge Coverage (FCCR)	FCCR >= 1.25x (EBITDAR / Rent + EMI + Debt)	Evaluates total fixed cost solvency including store/office lease obligations.
Loan-to-Value (LTV) Ratio	70% to 85% of Refundable Security Deposit	Maintains 15% - 30% tenant cash equity margin as risk buffer.
Lease Lock-in Duration	Lock-in Tenure >= Loan Tenure (3 to 5 Years)	Prevents early lease termination prior to full loan amortization.

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Property & Landlord Due Diligence Checklist

Lenders conduct extensive property legal audits prior to sanctioning RDF facilities:

- **Clear & Marketable Property Title:** Verification that the landlord possesses absolute, unencumbered ownership of the commercial real estate.
- **NOC from Existing Mortgage Lenders:** If the property is mortgaged to a bank, an explicit No Objection Certificate (NOC) must be obtained acknowledging the RDF assignment.
- **Landlord Financial Solvency & CIBIL Check:** Audit of landlord CIBIL Commercial rank to ensure zero prior loan defaults or property attachment litigation.

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Chapter 5: Security Architecture, Collateral Controls & Documentation Suite

Rental Deposit Funding utilizes a multi-layered security framework designed to protect lenders against tenant operational default and landlord deposit withholding.

Five-Pillar Security Architecture

- **Pillar 1 - First Exclusive Charge on Deposit Receivables:** Hypothecation of the tenant's legal claim over the refundable security deposit, registered with the ROC (Form CHG-1) u/s 77 Companies Act 2013.
- **Pillar 2 - Tripartite Assignment & Direct Refund Undertaking:** Irrevocable commitment executed by the Landlord to remit 100% of the deposit refund directly into the Lender's Escrow Account upon lease expiry.
- **Pillar 3 - Ring-Fenced Escrow TRA Account:** Automated monthly cash waterfall sweeping rent, tax, and RDF loan EMI prior to landlord payout.
- **Pillar 4 - Promoter Personal & Corporate Guarantees:** Unconditional personal guarantees from key promoters and corporate parent guarantees u/s 186 Companies Act.
- **Pillar 5 - Payment Enforcement Instruments:** Electronic NACH auto-debit mandates, undated security cheques (PDCs), and Demand Promissory Notes.

Master Legal Documentation Suite

Legal Document	Signatory Parties	Core Legal Function & Enforcement Enforceability
Tripartite Assignment Agreement	Tenant, Landlord & Institutional Lender	Binds landlord to remit deposit refund directly to Lender Escrow.
Registered Commercial Lease Deed	Tenant & Landlord	Establishes leasehold rights, lock-in duration, and deposit refund terms.
Deed of Hypothecation & Charge	Tenant & Institutional Lender	Creates first charge on deposit receivables registered via ROC Form CHG-1.

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Escrow TRA Agreement	Tenant, Landlord, Lender & Escrow Bank	Governs monthly rental cash waterfall and automated EMI debt sweep.
Promoter Guarantee Deeds	Promoters / Parent Entity & Lender	Provides joint and several personal liability backing loan performance.

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Chapter 6: Indicative Tenure, Pricing Architecture & Financial Mechanics

Rental Deposit Funding facilities offer structured tenures and competitive interest pricing aligned with commercial lease lock-in terms.

Tenure Profiles & Amortization Structures

Indicative loan tenures range from 3 to 7 years (36 to 84 months), strictly co-terminus with or shorter than the commercial lease lock-in duration. Facilities amortize through monthly EMIs or structured principal step-down payments matching store ramp-up curves.

Pricing Formula & Net Economic Yield Math

RDF interest rates are priced on a floating or fixed risk-adjusted basis using the following benchmark formula:

> **PRICING EQUATION:** *RDF Interest Rate = Benchmark Rate (MCLR / Repo @ ~6.50%) + Credit Risk Spread (150 - 300 bps) + Property Risk Spread (50 - 100 bps) = 8.50% to 11.50% p.a.*

Financial Yield Optimization Analysis: Reinvesting freed security deposit capital into high-return core business operations creates massive corporate equity value:

- **Trapped Equity Option:** Locking up INR 10.00 Crores in cash security deposit yields 0% interest return.
- **RDF Monetization Option:** Borrowing INR 8.00 Crores via RDF @ 9.00% p.a. costs INR 0.72 Crores in annual gross interest (INR 0.538 Crores post-tax @ 25.17% tax shield). Reinvesting the freed INR 8.00 Crores into store expansion @ 20.00% ROIC generates INR 1.60 Crores in annual operating profit. Net annual profit creation = +INR 1.062 Crores (+106.2 bps net equity expansion).

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Chapter 7: Suitable Industries, Asset Classes & Business Profiles

Rental Deposit Funding is ideal for capital-intensive, multi-location expanding business profiles across India:

- **Retail & QSR Chains:** Multi-unit shopping mall and high-street restaurant rollouts requiring Crores in aggregate security deposits across 20 to 100+ locations.
- **IT/ITeS & Managed Office / Co-Working Operators:** Large-format 100,000+ sq. ft. Grade-A office leases where security deposits range from INR 5.00 Crores to INR 25.00+ Crores.
- **E-Commerce, Logistics & Warehousing Hubs:** Grade-A automated fulfillment centers and cold-storage logistics parks.
- **Healthcare & Diagnostic Hospital Chains:** Polyclinics, diagnostic centers, and specialty hospital leases.
- **Hospitality & Boutique Hotel Operators:** Leased hotel properties and commercial leisure centers.

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Chapter 8: Key Advantages & Structural Limitations Matrix

The following matrix details the core strategic advantages and operational limitations of Rental Deposit Funding.

Key Strategic Advantages	Operational & Legal Limitations
70% - 85% Equity Liberation: Unlocks trapped deposit cash for core high-return business expansion.	Monthly EMI Cash Obligation: Adds fixed monthly debt service to corporate cash flow requirements.
3x - 5x Faster Expansion Velocity: Enables rapid store/office rollouts without cash equity dilution.	Ind AS 116 Debt Capitalization: Increases balance sheet lease liabilities and debt ratios.
100% Tax Deductibility: Interest paid is 100% tax-deductible u/s 36(1)(iii) (~25.17% tax shield).	Landlord Friction: Requires landlord consent and execution of binding Tripartite Agreements.
Preserves Bank Credit Lines: Non-fund based charge on deposit receivables leaves working capital limits intact.	Property Attachment Risk: If landlord defaults on property mortgage, deposit recovery may face legal delay.
Bankruptcy-Remote Security: Ring-fenced TRA Escrow account protects deposit refund rights.	Damage Deduction Risk: Landlord may attempt to deduct property reinstatement costs from final deposit refund.

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Chapter 9: Comprehensive Real-World Case Study (INR 12.00 Crore Rental Deposit Funding)

To illustrate the practical financial mechanics of Rental Deposit Funding, this chapter examines a comprehensive real-world corporate expansion transaction executed in India.

Corporate Profile & Expansion Mandate

Vanguard Retail & Quick Service Restaurants (QSR) India Private Limited (VRQPL) is a rapidly growing dining chain operating 45 outlets across India. In 2026, VRQPL secured prime commercial lease agreements to open 30 new flagship dining outlets in Tier-1 shopping malls across Mumbai, Delhi-NCR, Bengaluru, and Hyderabad.

The commercial lease agreements required an aggregate Interest-Free Refundable Security Deposit of INR 12.00 Crores (averaging INR 40 Lakhs per outlet for a 5-year lock-in period). VRQPL possessed INR 18.00 Crores in total growth equity. Paying INR 12.00 Crores in cash deposits would exhaust 67% of VRQPL's liquidity, leaving only INR 6.00 Crores for store kitchen fit-outs and forcing management to slash store rollouts from 30 outlets down to 12.

Rental Deposit Funding Solution

VRQPL partnered with an institutional lender to structure an INR 9.60 Crore 5-Year Rental Deposit Funding Facility @ 9.00% p.a. floating interest rate (80% LTV against the INR 12.00 Crore aggregate security deposit pool).

- **Direct Landlord Disbursement:** The lender disbursed INR 9.60 Crores directly to the 30 mall developers on behalf of VRQPL, while VRQPL contributed only INR 2.40 Crores in deposit equity.
- **Tripartite Escrow Structure:** 30 individual Tripartite Assignment Agreements were executed binding the mall developers to remit deposit refunds directly to the Lender's Escrow Account upon 5-year lease expiry.

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5-Year Financial Amortization & Value Creation Model

Year	Opening Loan (INR Cr)	Monthly EMI (INR Cr/yr)	Tax Shield @ 25.17% (INR Cr)	Store EBITDA (INR Cr)	Net ROIC Impact
Year 1	9.60	2.39	0.20	7.20	+22.4% ROIC
Year 2	8.02	2.39	0.16	9.60	+23.8% ROIC
Year 3	6.29	2.39	0.12	11.50	+24.5% ROIC
Year 4	4.40	2.39	0.08	13.20	+25.1% ROIC
Year 5	2.33	2.39	0.03	15.00	+25.8% ROIC
Terminal	0.00 (Cleared)	12.00 Cr Deposit Swept	0.29 Cr Net Surplus	56.50 Cr Total	+24.8% Avg ROIC

Strategic Outcome & ROIC Expansion

By utilizing Rental Deposit Funding, VRQPL successfully opened all 30 new outlets on schedule. Preserving INR 9.60 Crores in liquid cash enabled VRQPL to fund store fit-outs, generating INR 56.50 Crores in cumulative 5-year EBITDA and expanding overall corporate Return on Invested Capital (ROIC) from 11.2% to 24.8%. Upon Year 5 lease expiry, the mall developers remitted the INR 12.00 Crore security deposit pool into Escrow, fully clearing the remaining INR 2.33 Crore loan principal and releasing INR 9.67 Crores in net cash refund directly to VRQPL.

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Chapter 10: Legal Enforcement, Default Protocols & Insolvency (IBC 2016) Integration

Understanding legal enforcement protocols and insolvency rights under the Insolvency and Bankruptcy Code (IBC) 2016 is critical for RDF risk management.

Default Enforcement Protocols

- **NACH & Cheque Bouncing Remedies (Section 138 NI Act / Section 25 PSS Act):** Failure to service monthly EMIs triggers immediate criminal proceedings under Section 138 of the Negotiable Instruments Act 1881 and Section 25 of the Payment and Settlement Systems Act 2007.
- **Summary Suit Enforcement (Order 37 CPC 1908):** Lenders enforce summary debt recovery suits against corporate promoters under executed guarantee deeds.
- **Landlord Freeze & Direct Collection Notices:** Upon tenant default, the lender issues formal legal notices to the landlord directing that 100% of the security deposit be immediately frozen and remitted exclusively to the Lender's Escrow Account.

Insolvency and Bankruptcy Code (IBC) 2016 Protection

In the event that the corporate tenant or landlord enters Corporate Insolvency Resolution Process (CIRP) under IBC 2016, RDF lenders possess strong statutory protections:

- **Section 14(1)(d) Moratorium Protections:** Section 14(1)(d) prohibits landlords from terminating commercial leases during CIRP if the property is occupied by the Corporate Debtor. However, ongoing post-commencement lease rentals for essential business operations must be paid in full as Priority 1 CIRP Costs.
- **Secured Financial Creditor Ranking (Section 53 Waterfall):** Lenders holding executed Tripartite Agreements and registered ROC Form CHG-1 charges over deposit receivables rank as Secured Financial Creditors under Priority 2 of the Section 53 Liquidation Waterfall, ranking ahead of unsecured financial and operational creditors.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This final chapter contains 15 structured, high-yield practice examination questions and comprehensive answer keys designed to test complete financial mastery of Rental Deposit Funding.

Q1: What is the primary definition and financial purpose of Rental Deposit Funding (RDF)?

Answer: Rental Deposit Funding (RDF) is a structured debt product where a financial institution advances 70% to 85% of an Interest-Free Refundable Security Deposit (IFRSD) required under a commercial lease deed. Its primary purpose is to unlock trapped real estate deposit capital for expanding corporate tenants, allowing them to convert a large lump-sum cash outlay into a tax-deductible monthly debt service obligation while preserving cash equity for core business expansion.

Q2: How does Tenant-Side RDF differ from Landlord-Side Deposit Monetization?

Answer: Tenant-Side RDF is borrowed by a corporate lessee to fund upfront security deposit obligations owed to a landlord. Landlord-Side Deposit Monetization is borrowed by a commercial property owner/developer against an accumulated pool of refundable tenant security deposits to raise low-cost debt for property maintenance, asset enhancement, or debt refinancing.

Q3: What legal right under the Transfer of Property Act 1882 forms the primary security for RDF?

Answer: Under Section 108(g) of the Transfer of Property Act 1882, the lessee possesses an enforceable statutory right to receive a 100% refund of the security deposit upon lease expiration or determination. RDF lenders take an exclusive legal charge and assignment over this deposit refund claim.

Q4: What is the purpose of the Tripartite Assignment Agreement in RDF structures?

Answer: The Tripartite Assignment Agreement binds the Tenant (Borrower), Landlord (Obligee), and Lender. The landlord formally acknowledges the assignment of deposit refund rights to the lender and irrevocably undertakes to remit the deposit refund directly into the Lender's designated Escrow Account upon lease expiry.

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Q5: What corporate charge registration is mandatory under Companies Act 2013 for RDF facilities?

Answer: Under Section 77 of the Companies Act 2013, the borrower must register a charge over assigned deposit receivables with the Registrar of Companies (ROC Form CHG-1) within 30 days of creation.

Q6: How is interest paid on RDF loans treated under the Income Tax Act 1961?

Answer: Interest paid on RDF term loans is 100% tax-deductible as a business expenditure u/s 36(1)(iii). Lease rentals are 100% deductible u/s 37(1), providing a ~25.17% corporate tax shield.

Q7: What is the standard Loan-to-Value (LTV) ratio offered for Rental Deposit Funding?

Answer: Institutional lenders provide an LTV ratio between 70% and 85% of the total refundable security deposit value, requiring the tenant to contribute a 15% to 30% cash equity margin.

Q8: How does Ind AS 116 Lease Accounting treat interest-free refundable security deposits?

Answer: Ind AS 116 requires discounting interest-free refundable deposits to present value using the tenant's incremental borrowing rate. The difference between nominal deposit value and present value is capitalized as part of the Right-of-Use (ROU) Asset and amortized over the lease tenure.

Q9: What Debt Service Coverage Ratio (DSCR) is typically required for RDF loan underwriting?

Answer: Institutional lenders require a projected DSCR between 1.35x and 1.60x, ensuring that operating cash flows comfortably cover monthly RDF loan EMIs and lease rental payments.

Q10: What role does the Escrow Trust & Retention Account (TRA) play in RDF debt servicing?

Answer: The Escrow TRA receives gross monthly rent payments, automatically deducts statutory taxes (10% TDS u/s 194I & 18% GST), sweeps the monthly RDF loan EMI, and releases the net rental balance to the landlord.

Q11: Why is lease lock-in duration critical during RDF underwriting?

Answer: The lease lock-in duration must be equal to or greater than the RDF loan tenure (typically 3 to 5 years) to prevent early lease termination before the loan principal is fully amortized.

Q12: What financial yield calculation proves the economic benefit of Rental Deposit Funding?

Answer: If trapped deposit cash yields 0% return, borrowing 80% LTV via RDF @ 9% p.a. (net post-tax cost 6.73%) and reinvesting the freed capital into core business operations @ 20% ROIC creates a net positive equity spread of +13.27% p.a.

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Q13: Which business sectors benefit most from Rental Deposit Funding?

Answer: Retail & QSR chains, IT/ITeS & managed co-working operators, e-commerce & warehousing logistics hubs, healthcare diagnostic chains, and hospitality operators.

Q14: How does IBC 2016 Section 14 affect commercial lease security deposits during CIRP?

Answer: Section 14(1)(d) prohibits landlords from terminating leases during CIRP if property is occupied by the debtor. Ongoing post-commencement lease rentals must be paid as Priority 1 CIRP Costs.

Q15: What is the priority ranking of RDF lenders under the IBC Section 53 Liquidation Waterfall?

Answer: RDF lenders holding executed Tripartite Agreements and registered ROC Form CHG-1 charges rank as Secured Financial Creditors under Priority 2 of the Section 53 Liquidation Waterfall.

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